

Tentative Rulings for July 27, 2026 Department M302

**To request oral argument, you must notify
Judicial Secretary Lauren Garcia at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department M302 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

COUNSEL AND SELF-REPRESENTED PARTIES ARE ENCOURAGED TO APPEAR AT ANY LAW AND MOTION DEPARTMENT IN-PERSON OR VIA ZOOM VIDEO WHEN REQUESTING ORAL ARGUMENTS.

For information and instructions on remote appearances via **ZOOM**, visit the court's website at [Riverside Superior Court-Remote Appearances](#)

You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,
1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: **161 672 7660**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVME2512487	SWAINE VS SMITH	MOTION TO STAY CIVIL ACTION OR IN THE ALTERNATIVE, STAY DISCOVERY PENDING RESOLUTION OF CRIMINAL PROCEEDINGS

Tentative Ruling: CONTINUED TO AUGUST 24, 2026

2.

CASE #	CASE NAME	HEARING NAME
CVME2514682	SMITH VS PEDDER	MOTION TO COMPEL ARBITRATION

Tentative Ruling: GRANT as to Plaintiff, Larry Smith, individually, and Defendant, Pedder Auto Management, LLC only.

Plaintiff, Larry Smith, alleges that he was initially hired by Defendants in September of 2018 as the General Manager (GM) of Lake Elsinore Chrysler Jeep Dodge Ram (Lake Elsinore CJDR). In the fourth quarter of 2018, Defendant, David Pedder (Pedder), asked Plaintiff if he wanted to run Pedder's entire company as Vice President of the Pedder Auto Group for a \$20,000 monthly base salary plus a 20% commission of net profits of the entire company based on a percentage of net profits ranging between \$3 million to \$9 million resulting in \$600,000 to \$1,800,000 in bonus earnings. Plaintiff alleges that although there was no written agreement, he accepted the position.

At the end of 2019, Plaintiff became concerned he was not being paid what he was promised and sought clarification from Pedder who agreed to rectify the pay issue. In February of 2020, Pedder agreed to pay Plaintiff \$1 million a year going forward but Plaintiff was only paid \$552,000. Pedder then agreed to a modified salary/commission compensation package of \$1 million a year with any difference being made up by Pedder or Pedder Automotive. Plaintiff, Larry & Corin Smith Auto Consulting, LLC was then created to facilitate services provided by vendors and in joint venture with Pedder Automotive. Plaintiff was paid \$1 million for 2021 and 2022 but, less than that amount for 2023 and 2024. Then on 1/6/25, Pedder "violently and unceremoniously terminated" Smith for no apparent reason and without cause in front of staff and customers. (Compl. ¶ 32.) Pedder allegedly attacked Smith's honesty among other slanderous statements, physically assaulted him while attempting to fight him, and failed to pay his earned compensation of at least \$788,511.00.

Plaintiffs filed their Complaint on 11/3/25 alleging eleven causes of action: 1) failure to pay all wages due; 2) inaccurate wage statements (Labor Code [LC] § 226); 3) failure to pay meal periods; 4) failure to pay rest periods; 5) failure to pay all wages due at termination; 6) breach of employment contract; 7) repayment of wages to employer (LC § 221); 8) violation of Bus. & Prof. Code § 17200; 9) fraud; 10) defamation; and 11) breach of contract.

The Pedder Defendants¹ bring this motion to compel arbitration and to stay the civil action pending arbitration pursuant to the arbitration agreements to arbitrate all employment-related claims between Plaintiff, Smith, and the Pedder Defendants. (Federal Arbitration Act [FAA] 9 USC §§ 1-16; CCP §§ 1281.2, 1281.4.) The Pedder Defendants assert that Plaintiff knowingly and voluntarily signed an arbitration agreement (AA) on 2/29/24 as part of a “Handbook Acknowledgement” form, which Plaintiff was familiar with after having signed five previous similar agreements while he was employed by Lake Elsinore CDJR; Pedder Nissan, LLC; and Pedder Auto Management. They also assert that the various AAs include the non-signatory Pedder Defendants; that Plaintiff’s claims fall squarely within the scope of the AA; that the AA meets the condition of mutuality; and that the AA is not unconscionable.

Plaintiffs oppose the motion arguing that the only active AA is the one signed on 10/22/22 (Dec.Jempsa Ex. “5”) as the others were either superseded or are not applicable but, the subject AA does not identify the company/employer, has no language to submit tort claims to arbitration, and does not identify Plaintiff, Larry & Corin Smith Auto Consulting, LLC (Smith Consulting) as a party. Plaintiffs assert that no valid arbitration agreement exists; that the arbitration provisions are unconscionable; and severance of any unconscionable provision is improper.

Defendant, Eblock Corporation, filed a notice of non-opposition and joinder as a non-signatory, express third-party beneficiary of the AA arguing that it can enforce the AA under the doctrines of equitable estoppel and agency.

Plaintiffs object to Eblock’s joinder.

The Reply asserts that Plaintiffs did not submit Smith’s declaration or any evidence contradicting the Pedder Defendants’ showing that Smith signed the 2/29/24 AA for himself and as Pedder Auto Management’s authorized representative, which includes third-party beneficiaries (sister companies, subsidiaries, and parent companies); that the 10/22/22 AA was superseded by the 2/29/24 AA, which moving Defendants ignored; that Smith Consulting not being a party to the AA is irrelevant as it does not assert any claims against the Pedder Defendants. The Pedder Defendants argue that while the company is not identified, Smith’s role was as an authorized signatory for Pedder Auto Management; that the fraud and defamation claims (tort claims) arise from Smith’s employment and therefore, fall within the scope of the AA; that the unconscionability arguments fail without evidence and ignore several safeguards in the AA (e.g., a neutral arbitrator); that the PAGA waiver could easily be severed; and re-asserts prior arguments.

Upon the petition/motion of a party to an agreement to arbitrate, the court must grant a motion to compel arbitration unless it finds: no written agreement to arbitrate exists; the right to compel arbitration has been waived; grounds exist for revocation of the agreement; or litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (CCP § 1281.2.) A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v.*

¹ Defendants, David Pedder; Pedder Automotive; LLC, Pedder Auto Management, LLC; DPEP, Inc.; Pedder Nissan, LLC; DPEP 5, Inc.; DPDW, Inc. dba Hemet CDJR; DPEP 3, Inc.; DPEP 6, Inc.; and DPEP 7, Inc. are collectively referred to as the “Pedder Defendants.”

State Farm Mutual Auto Insurance Co. (1975) 14 Cal.3d 473, 479.) The motion to compel must set forth the provisions of the written agreement and the arbitration clause verbatim, or such provisions must be attached and incorporated by reference. (CRC rule 3.1330; see also *Condee v. Longwood Mgmt. Corp.* (2001) 88 Cal.App.4th 215, 218–19.) The party seeking arbitration must prove the existence of the arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2015) 55 Cal.4th 223, 236.) The burden then shifts to the opposing party to prove any defense such as unconscionability. (*Id.*)

“In ruling on a petition to compel arbitration, the trial court may consider evidence on factual issues relating to the threshold issue of arbitrability Parties may submit declarations when factual issues are tendered with a motion to compel arbitration.” (*Engineers & Architects Assn. v. Community Development Dept.* (1994) 30 Cal.App.4th 644, 653.) In the summary proceedings on a motion to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

Federal and state policy favors arbitration such that “when there is doubt as to the meaning and construction of an agreement for mediation and/or arbitration, that doubt should be resolved in favor of those processes.” (*Bono v. David* (2007) 147 Cal. App. 4th 1055, 1062.)

The Pedder Defendants assert that Plaintiff, Smith, entered into several arbitration agreements. Rebeca Jempsa, the Human Resources Director for Defendant, Pedder Auto Management, LLC, declares that Pedder Auto Management is part of a network of affiliated car dealerships under common ownership. (Dec.Jempsa ¶ 2.) She is familiar with Pedder Auto Management's information systems and files as well as its policy on arbitration, employee handbooks, onboarding process, and all policies and practices for new hires. (*Id.* ¶ 3.) She states she has access to Smith's personnel files. (*Ibid.*) When Smith applied for employment as the GM with *Lake Elsinore CDJR* on 8/28/18, he electronically signed an “Applicant Statement and Agreement”, which included an acknowledgement and arbitration agreement for all employment-related claims. (*Id.* ¶¶ 5-6, Ex. “1”.) Separately, on 9/4/18, Smith signed a “Binding Arbitration Agreement” (First BAA). (*Id.* ¶ 7, Ex. “2”.)

On 2/1/19, Smith transferred employment from Lake Elsinore CDJR to *Pedder Nissan*, which is part of the same network of car dealerships under common ownership of Pedder Auto Management. (*Id.* ¶ 8.) Smith's new position was Vice President. (*Ibid.*) Smith signed a “Transfer Authorization and Agreement” agreeing that all written agreements including “the at will and arbitration agreements” remained in effect and applied to his new position at Pedder Nissan. (*Id.* ¶ 8, Ex. “3”.) On 12/16/20, Smith transferred employment from Pedder Nissan to *Pedder Auto Management* as Vice President and signed a similar transfer agreement on 1/14/20. (*Id.* ¶ 9, Ex. “4”.) Separately, on 10/27/22, Smith signed a new version of the BAA (Second BAA). (*Id.* ¶ 10, Ex. “5”.)

On 2/29/24, Smith was provided a “Handbook Acknowledgement”, which contained an “At Will and Arbitration Agreement” (HAA), which Smith signed after review. (*Id.* ¶ 11, Ex.

“6”.) Ms. Jempsa declares that the “Company” in the Second BAA and the HAA refers to Smith’s employment with Pedder Auto Management. (*Id.* ¶ 12.)

Notably, the HAA signed on 2/27/24 is the operative arbitration agreement, which the Pedder Defendants are seeking to enforce. The HAA provides: “This is the entire agreement between the Company and me regarding dispute resolution and this agreement *supersedes any and all prior agreements* regarding this issue to the extent that they differ from the foregoing.” (*Id.* ¶ 11, Ex. “6”, HAA p. 81 [p. 28 of 28.]) (emphasis added.) Plaintiff Smith, as an individual and as the authorized representative of Pedder Auto Management entered the HAA, which provides as follows:

4. By signing below and/or by accepting and/or continuing employment with the Company, I agree to pursue any claim I might have against the Company that currently exist or that may arise in the future exclusively through binding arbitration; similarly, the Company agrees to pursue any claims it might have against me that currently exist or that may arise in the future through binding arbitration. ...[which] includes any claims that either of us may have against any third-party beneficiaries as mentioned below.

5. I understand that this agreement requires me to pursue all claims I bring against the Company (and any third-party beneficiaries) through binding arbitration and requires the Company to submit any claims it has against me to binding arbitration (except for those claims specifically excluded by this agreement). Our agreement includes any and all claims which arise out of the employment context or any other interaction/relationship we had, have or may have in the future. Those claims include, but are not limited to, any claim, dispute, and/or controversy that either party brings against the other ...unless prohibited by controlling law. ... (*Id.* p. 78 [p. 25 of 28.])

Plaintiff, Smith, argues that the HAA fails to identify him as the employee and fails to identify Pedder Auto Management as the “Company”. However, he identifies himself as the Employee as indicated in the signature block. (*Id.* p. 81 [p. 28 of 28.]) And he identifies himself as the “Company” representative in the signature block. (*Ibid.*) Moreover, there is no dispute that Smith’s position at the time he signed the HAA was Vice President of Pedder Auto Management.

Plaintiff Smith argues in the Opposition that the Pedder Defendants allege the only active AA was the BAA signed on 10/27/22. (Oppo. p. 9:9-10.) However, the Pedder Defendants are clearly relying on the HAA, as indicated above. As a result, Plaintiff has not opposed the motion to compel the operative HAA.

The Pedder Defendants are identified in the motion, which includes Pedder Auto Management (the “Company”).² The Pedder Defendants also identify David Pedder as the President of Pedder Automotive and that Pedder Automotive, LLC; Nissan of Temecula, Inc.; Hemet CJDR; Raceway Nissan; Poway Hyundai; and Pedder Chrysler

² Defendants, David Pedder; Pedder Automotive; LLC, Pedder Auto Management, LLC; DPEP, Inc.; Pedder Nissan, LLC; DPEP 5, Inc.; DPDW, Inc. dba Hemet CDJR; DPEP 3, Inc.; DPEP 6, Inc.; and DPEP 7, Inc. are collectively referred to as the “Pedder Defendants.”

Dodge Ram and Jeep of Poway as part of the same network of affiliated car dealerships under the common ownership of Pedder Auto Management. (Dec.Jempsa ¶ 13.) However, these entities are not the same. None of the entities identified by Jempsa are included in the “Pedder Defendants.” While the HAA states it applies to third-party beneficiaries, they are not specifically identified.

The general rule is that only a party to an arbitration agreement is bound by or may enforce the agreement. (*Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 613.) However, an arbitration agreement can be enforced against certain non-signatories under applicable principles of agency and contract law. (See *Letizia v. Prudential Bache Secur., Inc.* (9th Cir. 1986) 802 F.2d 1185, 1187; *Gravillis v. Coldwell Banker Residential Brokerage Co.* (2006) 143 Cal.App.4th 761, 772, fn.3.) The Pedder Defendants argue that they are entitled to enforce the HAA as third-party beneficiaries under the terms of the HAA.

The law recognizes an exception to the general rule where the non-party is a third-party beneficiary to the agreement. (*Ronay Family Limited Partnership v. Tweed* (2013) 216 Cal.App.4th 830, 837-38; see also *Jones v. Jacobson* (2011) 195 Cal.App.4th 1, 17-18 [arbitration agreement may be enforced by nonsignatories when the nonsignatory is a third-party beneficiary of the agreement, and when a preexisting agency relationship makes it fair to allow the nonsignatory to impose the duty to arbitrate].) “The test for determining whether a contract was made for the benefit of a third party is whether an intent to benefit a third person appears from the terms of the contract.” (*Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal. App. 4th 1004, 1022.) People who benefit only incidentally or remotely are not third-party beneficiaries. (*Ibid.*) “Reading the agreement as a whole in light of the circumstances under which it was made, the terms of the agreement must clearly manifest an intent to make the obligation inure to the benefit of the third party.” (*Martin v. Bridgeport Community Assn., Inc.* (2009) 173 Cal. App. 4th 1024, 1034.)

The HAA is between Smith and Pedder Auto Management as the “Company”. (Dec.Jempsa ¶ 11, Ex. “6”, HAA p. 81 [p. 28 of 28.]) The HAA provides that it “includes any claims that either of us may have against any third-party beneficiaries as mentioned below.” (*Id.* ¶¶ 4-5.)

Such third-party beneficiaries “include the Company’s owners, directors, officers, managers, employees, agents, partners, attorneys, sister-companies, subsidiaries, parent companies, joint-venturers, affiliated persons/entities, independent contractors, and parties affiliated with its employee benefit and health plans. These claims also include any claims arising from, related to, or having any relationship or connection whatsoever with my seeking employment with, employment by, or other association with the Company or third-party beneficiaries, whether based on tort, contract, statute, equity or otherwise. (*Id.* ¶ 5.)

The Pedder Defendants assert, in conclusory fashion, that they are third-party beneficiaries because the HAA includes “owners ...sister-companies, subsidiaries, parent companies...”. (Motion, p. 14:24-27.) However, they have not demonstrated these connections, nor have they established that they are intended third-party beneficiaries as opposed to being only benefitted incidentally or remotely. The terms of the HAA do not

“clearly manifest an intent to make the obligation inure to the benefit of the third party.” (*Martin, supra*. 173 Cal. App. 4th at 1034.) Moreover, Smith was employed by Lake Elsinore CDJR, followed by Pedder Nissan, and then Pedder Auto Management but, not the remaining Pedder Defendants. The Pedder Defendants have not established that the HAA applies to any non-signatory parties. Thus, the HAA applies only to Plaintiff, Smith, and Defendant, Pedder Auto Management.

Nonetheless, Defendant, Pedder Auto Management, has established the existence of a valid arbitration agreement (the HAA) between it and Plaintiff. Thus, the burden shifts to Plaintiff to establish a defense. Here, Plaintiff’s only defense is unconscionability

“‘Procedural unconscionability’ concerns the way the contract was negotiated and the parties’ circumstances at that time. It focuses on the factors of oppression or surprise. This element is generally satisfied if the agreement constitutes a contract of adhesion.” (*Id.*, citing *Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1280-1281.) Adhesion contracts are “standardized contracts drafted by a party of superior bargaining power and presented to the weaker party on a take-it-or-leave-it basis”. (*Id.*)

Plaintiff argues that the arbitration agreement is procedurally unconscionable because it is an oppressive adhesion contract presented without any opportunity for discussion or negotiation; was strategically blended into Smith’s employment documents, which contained a deceptive heading; and that he did not have an opportunity to review the HAA or consult an attorney before signing it. (*Oppo.* p. 6:15-21.) Plaintiff also argues that the HAA constitutes a surprise because it failed to identify the “Company” or “Employer” and is silent as to the party responsible for paying arbitration costs and as to all types of relief available in non-arbitration forum.

However, the Pedder Defendants correctly point out that Smith has presented “zero evidence” to support his procedural unconscionability argument. He did not provide a declaration or anything else. In addition, Smith was a high-level executive who acted as the signatory for Pedder Auto Management in the HAA itself. His position alone belies the purported lack of opportunity to discuss, negotiate, review, or consult an attorney before signing it. Further, Smith had executed prior arbitration agreements while employed by some of the Defendants. Smith has not presented any evidence that being presented with the HAA was a deceptive tactic. Thus, under the circumstances presented here, there is no procedural unconscionability.

Plaintiff also addresses substantive unconscionability, which focuses on the terms of the agreement and whether those terms are so unduly harsh or unreasonably one-sided as to “shock the conscience.” (*Marin Storage & Trucking, Inc. v. Benco Contracting & Eng.* (2001) 89 Cal.App.4th 1042, 1055.) It should also be noted that “a sliding scale is invoked whereby the more procedurally oppressive the arbitration clause is, the less evidence of substantive unconscionability is required to warrant the conclusion that the agreements to arbitrate are unenforceable.” (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal.App.4th 76, 91.)

Here, Plaintiff argues that the arbitration agreement is substantively unconscionable because the HAA does not state the party responsible for the costs of arbitration and there is a “lack of mutuality” due to the unilateral class and representative action waiver.

However, the Pedder Defendants are incorrect as to the arbitration costs. The HAA expressly states “that in most all [sic] circumstances [Pedder Auto Management] will pay all costs and arbitrator fees unique to the arbitration as required for controlling case law, such as for statutory claims for unpaid wages, discrimination, harassment, retaliation, etc.” (Dec.Jempsa Ex. “6”, ¶ 9, p. 80 [p. 27 of 28.]) The Pedder Defendants also assert that Smith waived the right to bring a class, collective, representative or PAGA claim *unless prohibited by controlling law*. (*Id.* ¶ 10.) Noting that the HAA is governed by the FAA, the Pedder Defendants persuasively argue that to the extent that the PAGA waiver is prohibited, the HAA provides for severance as opposed to voiding the entire HAA. (*Ibid.*; see *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 662 [finding that the employer was entitled to compel arbitration of former employee’s individual claim].) Any substantive unconscionability is exceedingly minimal as it is limited to the PAGA waiver, which could be severed *if it existed*.

Importantly, some procedural and substantive element is required for the court to find unconscionability. Since there are no procedural nor substantive elements, unconscionability cannot be established.

Accordingly, the motion to compel arbitration between Plaintiff, Smith, as an individual³ and Defendant, Pedder Auto Management, is GRANTED.

3.

CASE #	CASE NAME	HEARING NAME
CVME2606867	CAREY VS CALIFORNIA HIGHWAY PATROL	MOTION FOR PRESERVATION ORDER AND PRODUCTION OF RESPONSIVE RECORDS

Tentative Ruling: DENIED ON BOTH SUBSTANTIVE AND PROCEDURAL GROUNDS.

Motion is unsupported by proper memorandum of points and authorities. Moreover, it is overbroad, ambiguous, uncertain and unclear as to the relief moving party seeks.

4.

CASE #	CASE NAME	HEARING NAME
CVSW2309545	CARTY VS ALLISON JAMES OF CALIFORNIA, INC.	MOTION FOR SUMMARY JUDGMENT OR IN THE ALTERNATIVE SUMMARY ADJUDICATION

Tentative Ruling: GRANT the motion for summary judgment.

GRANT GOLV’s requests for judicial notice of Exhibits 1 and 21 through 24.

DECLINE to consider the separate statement filed with GOLV’s reply.

DECLINE to consider Plaintiffs’ and GOLV’s evidentiary objections in full, as they are not material to the disposition of this motion. (C.C.P. § 437c(q).)

³ Plaintiffs take issue with the fact that Smith Consulting is not a party to any of the arbitration agreements. To the contrary, the Pedder Defendants persuasively argue this is irrelevant since Smith Consulting does not assert any claims against the Pedder Defendants.

This dispute arises from Plaintiffs Vanessa Carty (“Vanessa”) and Jeremy Carty’s (“Jeremy,” together, “Plaintiffs”) purchase of real property while represented by Defendant GOLV, Inc. dba Keller Williams Realty San Diego East Foothills (“GOLV”).

On June 11, 2022, Plaintiffs entered into a Residential Purchase Agreement (“Agreement”) with Zina Behnan and Johnny Behnan (“Sellers”) to purchase a residence located at 42140 Weeping Willow Lane, Murrieta, California (“Property”) for \$740,000.00. Plaintiffs were represented by GOLV and licensed real estate agent, Lauren Hilemon (“Agent Hilemon”) in the transaction, and Sellers were represented by Defendant Allison James of California, Inc. dba Allison James Estate’s & Homes (“Allison James”) and licensed real estate agent Shannon Munoz (“Agent Munoz”). The Agreement required Sellers to disclose known material facts and defects affecting the Property.

Plaintiffs contend that Allison James provided a false and misleading Transfer Disclosure Statement that represented there was no mold in the residence, no alterations or repairs made without necessary permits, and that any made were in compliance with building codes. However, Plaintiffs allege that Allison James knew that Sellers had remodeled the Property without the qualifications and expertise to do so competently but concealed this information from Plaintiffs. Plaintiffs further allege that Allison James made confidential remarks disclosing a defect in the kitchen ceiling related to the remodel of the above master bedroom but made no complete and meaningful disclosures regarding the remodel. Plaintiffs allege that Allison James also knew of, but failed to disclose, just-installed faulty window and door systems and multiple car impacts at the Property.

Escrow closed on July 7, 2022. Plaintiffs allege that in November 2022, after they moved in, water intrusion began in the residence kitchen and living room at a wall where there had been a car impact. During mitigation, Plaintiffs discovered extensive established toxic mold intrusion that was exacerbated with moisture intrusion and water leaks in multiple locations, prompting Plaintiffs to move out in March 2023.

On November 13, 2023, Plaintiffs filed a Complaint against Allison James and GOLV, asserting causes of action for: (1) negligence; (2) fraud; (3) intentional concealment; (4) negligent misrepresentation; (5) professional negligence; (6) breach of fiduciary duty (against GOLV only); and (7) breach of sellers’ real estate professional to conduct reasonable inspection (against Sellers’ Agent). Plaintiffs allege that as a real estate professional and buyers’ agent, GOLV had a duty to disclose to Plaintiffs all material information that it knew or reasonably could have obtained regarding the Property and Agreement.

GOLV now moves for summary judgment of the Complaint, or in the alternative, summary adjudication of the first through sixth causes of action against it. GOLV argues that it did not owe Plaintiffs a duty to inspect areas of the Property that were inaccessible or disclose unknown latent defects, and that there is no evidence that it made a false representation or concealed any material facts. Specifically, GOLV contends that Plaintiffs obtained a home inspection that identified possible water stains on the ceilings and organic growth around the kitchen sink. The home inspector recommended obtaining additional inspections, including a mold inspection, and Agent Hilemon advised Plaintiffs that further inspections were recommended. GOLV further alleges that Sellers disclosed a prior bathroom and roof leak at the Property in their disclosure report. However, GOLV

contends that Plaintiffs declined to conduct further inspections and removed all contingencies. GOLV further alleges that during the final walk-through, Sellers described the prior bathroom and roof leak, repairs that were made, and scope of remodel work performed before the parties closed escrow.

In opposition, Plaintiffs contend that triable issues of material fact exist as to GOLV's breach of its duty toward Plaintiffs. Specifically, Plaintiffs acknowledge that although Agent Hilemon discussed the inspection report and disclosures with Plaintiffs, they deny that she brought the home inspection report findings regarding possible water stains and organic growth to their attention and contend that she did not meaningfully investigate Sellers' remodeling or unpermitted work or advise Plaintiffs as to these issues. Plaintiffs further argue that even if GOLV did not have a statutory duty to inspect inaccessible areas, it still had a fiduciary or professional duty to advise them not to remove contingencies until water-intrusion and mold issues were further evaluated, recommend specialists for further inspections, request an extension of contingencies, or advise Plaintiffs of the risks of proceeding without further investigation. Lastly, Plaintiffs contend that the issues of the extent of GOLV's prior knowledge and Plaintiffs' reliance and causation are questions of fact for the jury to decide.

In reply, GOLV argues that Plaintiffs' characterization of a buyer's agent's duty extends far beyond that recognized by state law and is based on speculation and reiterates the arguments in their underlying motion.

GOLV requests that the Court take judicial notice of the Complaint (Request for Judicial Notice ["RJN"], Exh. 1), Requests for Admission, Set One, propounded to, and responded by, Jeremy (RJN, Exhs. 21 and 23), and Requests for Admission, Set One, propounded to, and responded by, Vanessa (RJN, Exhs. 22 and 24).

"The court will take judicial notice of records such as admissions, answers to interrogatories, affidavits, and the like... only where they contain statements of the plaintiff or his agent which are inconsistent with the allegations of the pleading before the court." (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604-605.) Here, Plaintiffs contend they do not recall reviewing the home inspection report with the inspector, despite their admission to the contrary in discovery responses. (Plaintiffs' Response to Separate Statement of Material Facts, ¶ 44.) Accordingly, the Court **GRANTS** GOLV's unopposed requests for judicial notice of Exhs. 1 and 21-24.

Plaintiffs object to statements in the declaration of GOLV's expert witness, Richard A. Snyder, for improper legal conclusion and improper expert opinion.

Defendants similarly object to statements in the declaration of Plaintiffs' expert witness, Alan D. Wallace, Esq., for improper legal conclusion and improper expert opinion.

The Court declines to consider the evidentiary objections in full, as they are not material to the disposition of this motion. (C.C.P. § 437c(q).) Specifically, as further discussed below, Plaintiffs fail to adequately raise a triable issue of material fact as to whether GOLV owed a fiduciary duty of care. Without duty, the Court need not consider the expert declarations to reach the issue as to whether GOLV breached such duty.

Along with its reply, GOLV filed a response to Plaintiffs' Statement of Additional Material Facts. However, a "reply shall not include any new evidentiary matter, additional material facts, or separate statement submitted with the reply and not presented in the moving papers or opposing papers." (C.C.P. § 437c(b)(4).) Accordingly, the Court declines to consider the argument set forth in the separate statement filed with GOLV's reply.

The elements of a negligence claim are: (1) legal duty owed to plaintiffs to use due care; (2) breach of duty; (3) causation; and (4) damage to plaintiff. (*County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 318.)

Plaintiffs' causes of action for negligence, professional negligence, and breach of fiduciary duty are all premised upon GOLV's fiduciary duty as a real estate professional and broker. Generally, all people have a duty to use ordinary care to prevent others from being injured because of their conduct. (See Civil Code §1714(a).) "Whether a duty exists is a legal question, which is decided by the court, rather than the trier of fact." (*Rosencrans v. Dover Images, Ltd.* (2011) 196 Cal.App.4th 1072, 1082.)

Here, there is no dispute that as Plaintiffs' real estate brokers, GOLV owed Plaintiffs a fiduciary duty of care. (*William L. Lyon & Associates, Inc. v. Superior Court* (2012) 204 Cal.App.4th 1294, 1311; Separate Statement of Undisputed Facts [SSUMF], ¶ 2.) "Real estate brokers are subject to two sets of duties: those imposed by regulatory statutes, and those arising from the general law of agency." (*Carleton v. Tortosa* (1993) 14 Cal.App.4th 745, 756.)

Here, the parties dispute whether the scope of GOLV's fiduciary duties imposed an obligation to further investigate the existence of prior water intrusion and mold damage, encourage Plaintiffs to seek further inspections, or advise Plaintiffs as to the propriety of their decisions to forego additional inspections and remove contingencies.

Civil Code section 2079 provides, "It is the duty of a real estate broker or salesperson...to a prospective buyer of residential real property...to conduct a reasonably competent and diligent visual inspection of the property offered for sale and to disclose to that prospective buyer all facts materially affecting the value or desirability of the property that an investigation would reveal, if that broker has a written contract with the seller to find or obtain a buyer or is a broker who acts in cooperation with that broker to find and obtain a buyer." (Civ. Code § 2079(a).) Civil Code section 2079.3 defines the scope of the visual inspection, which "does not include or involve an inspection of areas that are reasonably and normally inaccessible to this type of an inspection, nor an affirmative inspection of areas off the site of the subject property or public records or permits concerning the title or use of the property..." (Civ. Code § 2079.3.)

GOLV contends that its statutory duty is restricted to performing a reasonable visual inspection, which it fulfilled. Indeed, "[s]ection 2079 statutorily limits the duty of inspection...to one requiring only a *visual* inspection." (*Field v. Century 21 Klowden-Forness Realty* (1998) 63 Cal.App.4th 18, 24 [original emphasis].) Plaintiffs do not allege that Agent Hilemon should have conducted an inspection in the inaccessible areas of the Property, i.e., behind the walls. Accordingly, Plaintiffs fail to raise a triable issue of fact as to whether GOLV breached a statutory duty of care.

However, a broker's fiduciary duty extends beyond the statutory duty delineated in sections 2079, et seq. Specifically, "the fiduciary duty of a broker, who contracts to exclusively represent a purchaser of real property to investigate for its client, is independent of the separate obligation imposed on a seller's broker to conduct a reasonable visual inspection of the marketed property for a buyer's protection...." (*Field, supra*, 63 Cal.App.4th at 21.) Accordingly, "depending on the circumstances, a broker's fiduciary duty may be much broader than the duty to visually inspect and may include a duty to inspect public records or permits concerning title or use of the property, a duty which is expressly excluded from section 2079." (*Id.* at 26.)

As *Field* explains, "the broker as a fiduciary has a duty to learn the material facts that may affect the principal's decision. He is hired for his professional knowledge and skill; he is expected to perform the necessary research and investigation to know those important matters that will affect the principal's decision, and he has a duty to counsel and advise the principal regarding the propriety and ramifications of the decision. The agent's duty to disclose material information to the principal includes the duty to disclose reasonably obtainable material information. [¶] ... [¶] The facts that a broker must learn, and the advice and counsel required of the broker, depend on the facts of each transaction, the knowledge and the experience of the principal, the questions asked by the principal, and the nature of the property and the terms of sale. The broker must place himself in the position of the principal and ask himself the type of information required for the principal to make a well-informed decision. This obligation requires investigation of facts not known to the agent and disclosure of all material facts that might reasonably be discovered." (*Field, supra*, 63 Cal.App.4th at 25, citing *Miller & Starr, Real Estate Law 2d Agency*, § 3.17, pp. 94, 96-97, 99; see also *Roberts v. Lomanto* (2003) 112 Cal.App.4th 1553, 1567 ["a real estate agent's fiduciary duty of disclosure extends to all material facts—that is, all facts that might affect the principal's willingness to enter into or complete a transaction."].)

However, agency is a contractual relationship; thus, "[t]he existence and extent of the duties of the agent to the principal are determined by the terms of the agreement between the parties, interpreted in light of the circumstances under which it is made, except to the extent that fraud, duress, illegality, or the incapacity of one or both of the parties to the agreement modifies it or deprives it of legal effect." (*Carleton*, 14 Cal.App.4th at 755 [citations and internal quotation marks omitted]; see also *Padgett v. Phariss* (1997) 54 Cal.App.4th 1270, 1279-80.) An agency agreement can, accordingly, "define, modify, and limit the terms of the agency and the agent's fiduciary duties." (2 *Miller & Starr, Cal. Real Estate* (4th ed. 2026), § 3:34.) "Such a limitation is not a disclaimer but merely a contractual limitation on the agent's duties." (*Ibid.*) The principle is codified in Civ. Code § 2079.23, which permits parties to define fiduciary duties by contract.

Here, the parties do not dispute that Plaintiffs executed the Statewide Buyer and Seller Advisory ("SBSA") on June 21, 2022, which states in pertinent part:

5. INSPECTIONS: ...A general physical inspection typically will not test for mold... If Buyer wants further information on any aspect of the Property, Broker recommends that Buyer have a discussion with the professional property inspector and that Buyer hire an appropriate professional for the area of concern to Buyer. Brokers do not verify the results of any such inspection or guarantee the performance of any such inspector or service. Any election by Buyer to waive the

right to a physical inspection of the Property or to rely on somebody other than an appropriate professional is against the advice of Brokers. Not all inspectors are licensed, and licenses are not available for all types of inspection activities. Brokers do not have expertise in this area.

6. MOLD: Mold is often undetectable from a visual inspection, a professional general property inspection and even a structural pest control inspection. Brokers do not have expertise in this area. If Buyer wants further information, Broker recommends that Buyer have the Property tested for Mold by an environmental hygienist or other appropriate professional during Buyer's inspection contingency period. Not all inspectors are licensed, and licenses are not available for all types of inspection activities. Brokers do not have expertise in this area.

(GOLV's Exhibit 18, ¶ 5 and 6; SSUMF, ¶ 12-13.)

It is also undisputed that Plaintiffs executed Agent Hilemon's "Agent Visual Inspection Disclosure ("AVID"), which states in pertinent part:

Environmental Hazards: Agent will not determine if the Property has mold, asbestos, lead or lead-based paint, radon, formaldehyde or any other hazardous substance or analyze soil or geologic condition.

Analysis of Agent Disclosures: For any items disclosed as a result of Agent's visual inspection, or by others, Agent will not provide an analysis of or determine the cause or source of the disclosed matter, nor determine the cost of any possible repair.

What this means to you: An Agent's inspection is not intended to take the place of any other type of inspection, nor is it a substitute for a full and complete disclosure by a seller. Regardless of what the Agent's inspection reveals, or what disclosures are made by sellers, California Law specifies that a buyer has a duty to exercise reasonable care to protect himself or herself. This duty encompasses facts which are known to or within the diligent attention and observation of the buyer. Therefore, in order to determine for themselves whether or not the Property meets their needs and intended uses, as well as the cost to remedy any disclosed or discovered defect, **BUYER SHOULD: (1) REVIEW ANY DISCLOSURES OBTAINED FROM SELLER; (2) OBTAIN ADVICE ABOUT, AND INSPECTIONS OF, THE PROPERTY FROM OTHER APPROPRIATE PROFESSIONALS; AND (3) REVIEW ANY FINDINGS OF THOSE PROFESSIONALS WITH THE PERSONS WHO PREPARED THEM. IF BUYER FAILS TO DO SO, BUYER IS ACTING AGAINST THE ADVICE OF BROKER.**

(GOLV's Exhibit 9, p. 1; SSUMF, 17 and 20-21.)

Accordingly, GOLV meets its initial burden on summary judgment/adjudication by presenting evidence demonstrating that the documents executed by the parties, taken together, disclaimed any duties GOLV had to provide any inspection or analysis into the cause, source, or presence of mold beyond a statutorily mandated visual inspection. Further, the documents advised Plaintiffs to review Sellers' disclosures, review the home

inspection report with the inspector, and obtain their own mold inspections, and that any failure to do so was against GOLV's advice.

Plaintiffs do not dispute that they executed the documents or argue that the terms do not apply to them. Rather, Plaintiffs merely contend that a "jury could find that boilerplate form language did not replace GOLV's fiduciary obligation to give clear, client-specific advice about the need for further specialist inspection." (Opp., p. 11.) However, a party who signs a contract is presumed to have read and understood it. (*Bolans v. Khalatian* (1991) 231 Cal.App.3d 1586, 1590 ["When a person with the capacity of reading and understanding an instrument signs it, he may not, in the absence of fraud, coercion or excusable neglect, avoid its terms on the ground he failed to read it before signing it."].) Similarly, one who assents to a contract is bound by its provisions and cannot complain of unfamiliarity with its language. (*Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, 710.) In addition, "responsive evidence that gives rise to no more than mere speculation cannot be regarded as substantial and is insufficient to establish a triable issue of material fact." (*Sangster, supra*, 162-163.) Accordingly, Plaintiffs fail to present any substantial evidence to create a triable issue of material fact as to whether GOLV disclaimed its duties to make further investigation into the presence, cause, or source of mold at the Property beyond a visual inspection. As such, GOLV did not owe Plaintiffs a fiduciary duty to further investigate or determine the cause, source, or existence of water intrusion or mold at the Property beyond a visual inspection.

To the extent that GOLV had a fiduciary duty of care to advise Plaintiffs of the propriety of their actions (i.e., foregoing further inspections and removing contingencies), the evidence shows that GOLV did not breach such duty because it repeatedly advised Plaintiffs, in writing, to conduct their own inspections and review the findings with the applicable professionals. (GOLV's Exhibit 9, p. 1 and Exhibit 18, ¶ 5 and 6; SSUMF, ¶ 12-13, 17 and 20-21.) Plaintiffs fail to present any substantial evidence to the contrary, as neither could "recall" whether anyone "clearly" advised them to pursue further inspections due to the inspection report. (Jeremy Decl., ¶ 13; Vanessa Decl., ¶ 13-14.) Although Vanessa attested that if Agent Hilemon "had clearly told me that I needed to review the report with the inspector or another qualified professional before removing contingencies, I would have taken that seriously and acted differently" (Vanessa Decl., ¶ 15), Vanessa testified that she was present during the home inspection and asked the inspector if he had any major concerns after he was finished with the inspection, which the inspector denied. (GOLV's Exh. 2, Vanessa Depo., 37:1-13.) Jeremy also testified that Vanessa had a telephone conversation with the inspector after he issued the report (GOLV's Exh. 3, Jeremy Depo., 368:21-369:8). As such, Plaintiffs fail to create a triable issue of material fact as to whether GOLV advised them to conduct further inspections and consult with professionals before removing contingencies.

The elements of fraud are: (1) misrepresentation of a material fact (consisting of a false representation, concealment or non-disclosure); (2) knowledge of the falsity (i.e., scienter); (3) intent to deceive and induce reliance; (4) justifiable and actual reliance on the misrepresentation; and (5) resulting damage. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445.)

Concealment requires: "(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff,

(3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.) As concealment is a species of fraud, it must also be pled with specificity. (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 878.)

The elements of a negligent misrepresentation cause of action are: (1) a representation as to past or existing material facts; (2) falsity of the representation; (3) defendant lacks reasonable grounds to believe the truth of the representation; (4) intent to induce reliance; (5) justifiable reliance by plaintiff; and (6) injury. (*B.L.M v. Sabo & Deitsch* (1997) 55 Cal.App.4th 823, 834.) Negligent misrepresentation is a form of deceit. (*Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407.)

Fraud actions are subject to strict requirements of particularity in pleading. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 216.) A plaintiff must allege what was said, by whom, in what manner (i.e. oral or in writing), when, and, in the case of a corporate defendant, under what authority to bind the corporation. (See *Goldrich v. Natural Y Surgical Specialties, Inc.* (1994) 25 Cal.App.4th 772, 782.)

Plaintiffs argue that GOLV’s “half-truths, suppression of material facts, or statements that become misleading in context,” specifically its omission of material information, minimization of material risks, failure to disclose the significance of known warning signs, and failure to adequately verify Sellers’ disclosures, constitute misrepresentations that negligently conveyed the impression that Plaintiffs could safely proceed with the purchase of the Property without further investigation. (Opp., p. 19.) However, Plaintiffs only generally allege that GOLV failed to “gather necessary information” regarding the Property and to provide clear advice (Opp., p. 18)

Here, Plaintiffs fail to produce any evidence to show that GOLV had knowledge of the mold and water intrusion in the Property beyond that reflected in Sellers’ disclosures or home inspection report, which was made equally available to Plaintiffs, to give rise to a duty to disclose. In addition, Plaintiffs fail to allege the existence of any false representation made by GOLV or Agent Hilemon with sufficient particularity to sustain a cause of action for fraud or negligent misrepresentation. Because Plaintiffs fail to establish that a misrepresentation or prior knowledge of material fact exists, Plaintiffs’ allegations of reliance and causation are unsupported.

Given the above, the Court GRANTS the motions for summary adjudication as the second through fourth causes of action for fraud, intentional concealment, and negligent misrepresentation.

GRANT GOLV’s requests for judicial notice of Exhibits 1 and 21 through 24.

Decline to consider the separate statement filed with GOLV’s reply. Decline to consider Plaintiffs’ and GOLV’s evidentiary objections in full, as they are not material to the disposition of this motion. (C.C.P. § 437c(q).)

GRANT the motion for summary judgment.

5.

CASE #	CASE NAME	HEARING NAME
CVSW2403633	GU VS VAL-CHRIS INVESTMENTS, INC.	MOTION ON WHETHER THE MATTER SHOULD PROCEED BY PROVE-UP HEARING OR TRIAL

Tentative Ruling: GRANTED

No default has occurred. Nor are there grounds to strike defendant's answer.

At a trial setting conference on May 30, 2025, the court set a trial date of May 15, 2026, and ordered the parties to appear at a mandatory settlement conference on April 16, 2026. Hou failed to appear at the April 16 MSC and Hou and his attorney were ordered to appear on May 15, 2026, and show cause why sanctions or dismissal should not be imposed for failure to appear at the MSC, citing C.R.C. 3.1380. Hou filed an ex parte application to continue the trial date on May 14, supporting by a declaration from his attorney stating that counsel had lost contact with Hou and describing various attempts by defendant's counsel to locate their client. The declaration also included the following:

Several months ago, we did receive an email from Defendant HOU stating that he was looking for another attorney to represent him in this case and that he did not want the Russell Law Group to do any further work on this matter. I was not involved at that time, but that may be the reason Ms. Duane did not conduct any discovery or render any other serv[ic]es after receiving that message. The Russell Law Group never heard from another attorney concerning substituting in for the Russell Law Group.

(Kent declaration, ¶16.) The initial minutes of the court for the May 15 hearing on the motion to continue trial set an OSC for why the court should not conduct a default prove-up for May 22, set the prove-up for May 22, and invited briefing. The initial minutes for the court trial on May 15 made similar orders. The initial minutes for the May 15 OSC (for failure to appear at the OSC) stated: "Order to Show Cause hearing is ordered discharged."

On May 20 the court issued two nunc pro tunc minute orders regarding the May 15 hearings, without identifying which of the three May 15-minute orders were being corrected. The amended orders changed the name of the OSC for May 22 from being a "Default Prove-Up" to a "Prove-Up". At the May 22 hearing the court set a further hearing on July 27 as to whether the matter should proceed "by Prove-Up Hearing or Trial". Briefing has been submitted by the parties, supplemental to an objection / motion that had initially been filed by Hou, through his attorneys, on May 18. Hou's briefing states that counsel has reestablished contact with their client and expects him to participate in trial.

It is important to start with the fact that the court did not strike Hou's answer after he failed to personally appear at the MSC or otherwise issue any sanctions.⁴ Instead the court discharged the OSC, and now the parties are left discussing what would happen if Hou also failed to appear at the trial. Fortunately, the case law is clear on that point. "Section 585 of the Code of Civil Procedure does not authorize the entry of any default in cases where an answer is on file *whether the defendant does or does not appear at the time the action is called for hearing*. [Citations.] Where the defendant who has answered fails to appear for trial 'the plaintiff's sole remedy is to move the court to proceed with the trial and introduce whatever testimony there may be to sustain the plaintiff's cause of action.' [Citation.] In this case a plaintiff is entitled to proceed under the provisions of Code of Civil Procedure, section 594, subd. 1, and he may do so in the absence of the defendant provided the defendant has been given... notice of the trial. Section 594 does not authorize the entry of the default in the event the defendant fails to appear, and a hearing held pursuant to that section under such circumstances is uncontested as distinguished from a default hearing. [¶] Where a defendant has filed an answer, neither the clerk nor the court has the power to enter a default based upon the defendant's failure to appear at trial, and a default entered after the answer has been filed is void [Citations], and is subject to expungement at any time... by virtue of the court's inherent power to vacate a judgment or order void on its face." (*Wilson v. Goldman* (1969) 274 Cal.App.2d 573, 576-577 [emphasis in original]; see also *Heidary v. Yadollahi* (2002) 99 Cal.App.4th 857.)

As with anything else what is important is what the court actually does, not what it is called (*Garamendi v. Golden Eagle Ins. Co.* (2004) 116 Cal.App.4th 694, 705 [footnote 3] [treating a proceeding as an uncontested hearing under section 594 even though the minutes described it as a default]), but before the trial starts the court needs to clarify the difference between a default prove-up and an uncontested trial. First, to proceed with an uncontested trial, "proof shall first be made to the satisfaction of the court that the adverse party has had 15 days' notice of such trial..." (C.C.P. §594(a).) The notice must be served on all parties by the clerk not less than 20 days prior to the date set for trial, or by an adverse party not less than 15 days prior to the date set for trial. (C.C.P. §594(b).) Proof of this service must be introduced into evidence prior to commencement of trial.

"Proceeding to judgment in the absence of a party is an extraordinary and disfavored practice in Anglo-American jurisprudence: '[T]he policy of the law is to have every litigated case tried upon its merits, and it looks with disfavor upon a party, who, regardless of the merits of the case, attempts to take advantage of the mistake, surprise, inadvertence, or neglect of his adversary.'" [Citations.] Reflecting this principle, section 594(a) expressly puts the burden on the party seeking to proceed with trial in the absence of the opposing party to prove that the absent party received the statutory 15-day notice.

⁴ "A court may not compel a litigant to settle a case, but it may direct him to engage personally in settlement negotiations, provided the conditions for such negotiations are otherwise reasonable." (*Wisniewski v. Clary* (1975) 46 Cal.App.3d 499, 505.) Striking the defendant's answer (or dismissal, for a plaintiff's failure to appear) is permissible if the circumstances render it appropriate. (*Sigala v. Anaheim City School Dist.* (1993) 15 Cal.App.4th 661, 670-671, 673-674.)

The Legislature has not required the absent party to show that it did not receive the statutorily required notice.” (*Au-Yang v. Barton* (1999) 21 Cal.4th 958, 963.)⁵

There is a further distinction between a trial conducted in a party’s absence and a trial conducted when the party appears through an attorney but is not personally present. To compel a party to attend trial, they must be served with a notice to attend under C.C.P. §1987(b). Service upon the party’s attorney is sufficient. (*Morgan v. Davidson* (2018) 29 Cal.App.5th 540, 552 [criticized on other grounds in *Conservatorship of O.B.* (2020) 9 Cal.5th 989, 1010.]) Disobedience of a notice of appeal is sanctionable as would be disobedience of a subpoena. (*Gerard v. Cuevas* (2025) 118 Cal.App.5th Supp. 37 [finding error in striking defendant’s answer for failure to comply with a notice to appear given on 91-minutes notice].)

Section 1987 provides that a Notice “shall have the same effect as service of a subpoena on the witness, and the parties shall have those rights, and the court may make those orders, including the imposition of sanctions, *as in the case of a subpoena for attendance before the court.*” [Citations.] The sanctions available in the case of a party’s failure to comply with a subpoena for attendance in court are set forth in section 1991 et seq. Those sanctions are limited to an order of contempt proceedings [Citation], a forfeiture of \$500 in addition to any monetary damages the aggrieved party may sustain by the failure of the recipient of a subpoena or court order [Citation], and the issuance of an arrest warrant [Citation].

Section 1991 et seq. does not provide for the strike of an answer or any other terminating sanction. In fact, the original version of section 1991 expressly allowed the court to strike an answer in the case of a defendant’s refusal to comply with a subpoena. [Citation.] This provision was held to be unconstitutional by the California Supreme Court “as tending unduly to restrict the right to defend an action.” [Citations.] Subsequently, the Legislature amended the statute to remove the provision from section 1991. [Citation.] We presume this was not an idle act, meaning the Legislature no longer considers the striking of an answer to be an appropriate sanction for a violation of section 1987. [Citation.] Because the sanctions under section 1987 are limited to those available in section 1991 et seq., which no longer authorizes the striking of an answer, the trial court erred as a matter of law by issuing a terminating sanction in this case.

(*Gerard*, 118 Cal.App.5th Supp. 37, * [italics in original].) It is unclear whether Hou has been deposed or if a notice of deposition had ever been served—the persistent refusal of a party to submit to a deposition can be grounds for a terminating sanction after a motion to compel had been granted and disobeyed.⁶ (*Ruvalcaba v. Government Employees Ins.*

⁵ The *Au-Yang* court did quote a much older case as describing a proceeding taken against a party in their absence as “in the nature of a default.” (*Au-Yang*, 21 Cal.4th 958, 963 [quoting *Sheldon v. Landwehr* (1911) 159 Cal. 778, 782].) But the proceeding is different from a default in many ways. For example, mandatory relief under C.C.P. §473(b) is not available. (*Vandermoon v. Sanwong* (2006) 142 Cal.App.4th 315, 320-321; *Noceti v. Whorton* (2014) 224 Cal.App.4th 1062, 1067.) More importantly, as discussed next, the trial under section 594 requires proof of liability as well as damages.

⁶ It is also unclear whether Hou will appear at trial. Counsel for Hou states in the motion that he will and further explains in his declaration that “the Russell Law Group has located HOU and been in contact with him. It is

Co. (1990) 222 Cal.App.3d 1579, 1581.) But if Hou has been deposed plaintiffs may use that testimony in trial of their case. (C.C.P. §2026.620(b).) If plaintiffs made a tactical decision not to depose Hou and expected to compel him to testify at trial via service of a notice to appear, then an appropriate remedy can be fashioned with the remedies available under C.C.P. §§1991-1993. But if plaintiff made a tactical decision not to depose Hou and also did not notice his appearance for trial, then nothing has happened that warrants any sanction at all; a party who has not been noticed to appear does not have to personally appear at trial and can appear through their attorney, and the trial can be conducted under those circumstances, on the basis of whatever evidence has been developed and is ready to be presented at trial.

With this background, it seems clear that the motion is substantively correct. The court should provide notice of the trial and have the clerk or opposing party give notice, and the present hearing scheduled is not clearly noticed as a trial. If Hou and his attorneys fail to appear, the court must make the appropriate findings to conduct a trial under section 594. If Hou's attorneys appear but Hou does not, and Hou has been served through his attorneys with a notice to appear, the court should sanction him for disobedience of the notice to appear under sections 1991-1993. If Hou's attorneys appear but Hou does not and Hou was not served with a notice to appear, the trial can go forward on the merits. And of course, if Hou and his attorneys both appear at the new trial date, a trial on the merits is also appropriate.

anticipated HAE will be present for trial of this matter.” (Kent declaration, ¶4.) No other details are provided—especially, there is no explanation of why Hou failed to appear at the MSC, a detail that is technically irrelevant given that the court has discharged the OSC regarding his failure to appear, but a subject on which the court may naturally retain some curiosity.